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6Sep.49

RECENT SITUATION IN FORMOSA.

This information is a summarized story given by a Japanese repatriated from Formosa at the beginning of Aug. 49. As it is considered to deserve attention for the Far Eastern political judgement, we hereby report the summary of the story.

1. The recent trend of popular sentiment in Formosa.

We can summarize the Kuomintang Party's administration in Formosa as a severe misgovernment, which has firmly held in check the livelihood of the people. As the population has increased about twice as much as before the war and besides the number of public officials has rapidly advanced about eleven times as before, the commodity prices have suddenly gone up and the taxes were indiscriminately imposed upon every kind of the items. Furthermore, the natives were forced to evacuate their houses by the public officials who took refuge from China proper and were deprived of their jobs. The financial market has also been placed under the strict restriction and the enterprises have been driven to bankruptcy. Farmers are always being compelled to deliver their products by the troops.

Under these circumstances the people have consequently become quite estranged from the Kuomintang Party, and have been thrown into such despair as they should like to get out of the present circumstances by any means. Therefore, they do not care whether they will take sides with the Chinese Communists or with the U.S., if necessary. There were also so many of them, who are full of old memories at the time of Japanese rule and are very affectionate to the Japanese.

2. The present condition of the Kuomintang Party in Formosa.

The Kuomintang Party up to the higher staffs has generally lost their confidence and fighting spirit. At present they have established a strict military government throughout the island. They seem to lay great emphasis upon the control of the LI, Chi-tan's group affiliated with the Revolutionary Committee of the Kuomintang Party, who are being ruthlessly punished on the charge of treachery.

The air force has four battalions, which have more vigorous fighting spirit and are better supplied about from four and half to five times as compared with the Army and Navy forces. However, they are apt to despise each other so that they are on bad terms with the other. The army forces are only a rabble of remnants, which looks like a group of burglars in spite of the repeated purges. The strength is unknown, however, said to be 400,000 or 1,000,000 men, whose morale is extremely low. The supplying capacity based on Formosa is diminishing day by day so that it cannot meet even the need in Formosa itself.

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RECENT SITUATION IN FORMOSA. (Cont'd)

CHEN, Cheng the governor of the Formosan province is losing popularity and on the contrary SUN, Li-jen, one of the pro-American cliqus is gaining it to replace him. Among the young officers the movement has arisen to support him.

3. The Chinese Communist's attitude toward the people in Formosa.

Since the end of the war the cracks of the Chinese Communists such as HSUE Hsue-hung, LIAO Wen-i etc, have rapidly developed the democratization movement, which has so much strengthened its influence, especially the organization that in Feb 47 the riot broke out. However, finally when the Kuomintang Party took drastic measures to make Formosa an ultimate base of operation, the movement has been crushed down. As the pressure of the military government has made itself felt to the corners of Formosa through the vigilante system, the organization movement is completely made impossible at present and HSUE, LIAO etc. are obliged to escape from Formosa.

4. The present condition of the autonomous influences of the people in Formosa.

Judging from their essential tendency, the autonomous influences of people can be classified as follows ;

(a) Those who aim at independence.

(b) Those who aim at self-government.

(c) Those who desire international administration.

Immediately after the war's end (a) and (b), especially (a) had most influence. Then (b) rose. The most noted of them were the 'Formosan Democratic League' and the 'Formosan Autonomous Committee', which had given a considerable influence to the general public before the Kuomintang Party strengthened the suppression but are now completely inactive. The movements of (c) also rose for a while but their overt activities have ceased by the suppression.

In the meantime HUANG Nan-hung of the Formosan Autonomous Committee has bravely continued his activities. He had been hitherto regarded as a sympathizer with the Chinese Communists. As a result of his inspection tour in North Korea, Manchuria, and North China since the spring 49, he has come to say that he became skeptical of the marxism when he saw the realities of the Communists government, and to declare that 'Formosa for the Formosans' was just their idea. It seems there are many, than expected, among the students and intellectuals who support him.

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3 Nov. 1949 SECRET

INFORMATION ON THE RECENT CONDITION IN FORMOSA.

The following information on the recent condition in Formosa has been made available form certain reliable sources:

1. When South China was still ruled by the Nationalists, the military forces were interchanged between Formosa and the Continent. However, after the fall of Amoy, Swatow, etc. into the hands of the Chinese Communists, the movements of troops have not been made between the two. The soldiers who were given a refresher training after their rest in Formosa are being sent to Hainan Island.

2. The strength under the command of Generalissimo Chiang Kai-shek in Formosa is currently estimated at approximately 450,000. They have also some naval and air forces and keep some stockpiles of materials. However, from the military viewpoint, if the Chinese Communists will seriously attack Formosa after having made full preparations therefor, they will easily score a success.

3. At present the Chinese Communists have only some secret guerilla units in Formosa and have not yet firmly established their influence among the masses on the island.

However, the islanders, who are compelled to live a hard life under the strict martial law of the Nationalists, have increasingly become dissatisfied with the Nationalists authorities. This dissatisfaction has the tendency to materialize into an independence movement and pro-communist thoughts and to gradually win the mind of the islanders.

4. War-lord Chen Cheng, Governor of Formosa, implicitly supports the independence movement in expectation of the worst, despite the official statements issued by the Kuomintang government.

5. On the other hand, the Chinese Communists have organized the Formosan Democratic Self-governing League (TAIWAN MINSHU JICHI DOMEI) in Peking. Haieh Fei-ying, communist hailing from Formosa (a relative of Haieh Nan-kung, member of the Chinese Mission in Japan, and he assumes another name in Peking), has been appointed leader of the League to urge the comrades in Formosa to join the League.

However, as was referred to above, the Communist influence has not yet been established on the Island.

6. Such being the case, the islanders are not inclined to take sides with the Chinese Communists, though they feel dissatisfied with the Nationalist government. Generally speaking, the Formosans currently hope that Formosa will gradually tread the way to independence under the protection of the U.S. trusteeship.

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INFORMATION ON THE RECENT CONDITION IN FORMOSA. (Cont'd)

7. As for the economic condition, the Island is self-sufficient in foodstuffs. (However, it cannot support itself, if a large population flows from the Continent into the Island.) The islanders desire to import industrial products because of their acute shortage.

8. Summarizing the abovementioned, we must say that Formosa is an extremely unstable temporary stronghold. Unless the U.S. gives a strong support, or further take a step of directly holding the island, it will be impossible to keep Formosa untouched by the Chinese Communists.